Hewlett Packard Enterprise

Full investment deep dive | HPE | NYSE | Framework 8.0

Networking changes the economics of an infrastructure supplier. Juniper expands HPE's switching, routing and software franchise; rack integration and cooling provide a route into AI deployments. The strongest earnings case comes from product mix, integration and profitable order conversion, not simply the value of expensive GPUs resold inside servers.

Current assessment	Model snapshot
Coverage / holding	New coverage; holding status was not supplied and is not assumed
Classification	BENEFICIARY / Watchlist; differentiated infrastructure supplier, not sole-source
Analytical Base	41/60 = 68% after framework rounding
Quote / capitalization	$64.94 and approximately $86.21bn; September 30, 2026, 14:14 EDT quote snapshot [S10]
Active ceiling	Q3 2027: $122.44/share; forward earnings window Q3 2027 - Q2 2028
Valuation convention	20x company-adjusted forward-four-quarter operating profit / modeled diluted shares; ordinary depreciation retained
Scope	Actuals through fiscal Q3 FY2026 ended July 31; September 30 Networking update included; calendar model through Q4 2030
Key limitation	Fiscal-to-calendar interpolation, product margins and unannounced contract equivalents are explicit estimates, not reported facts

Investment judgment

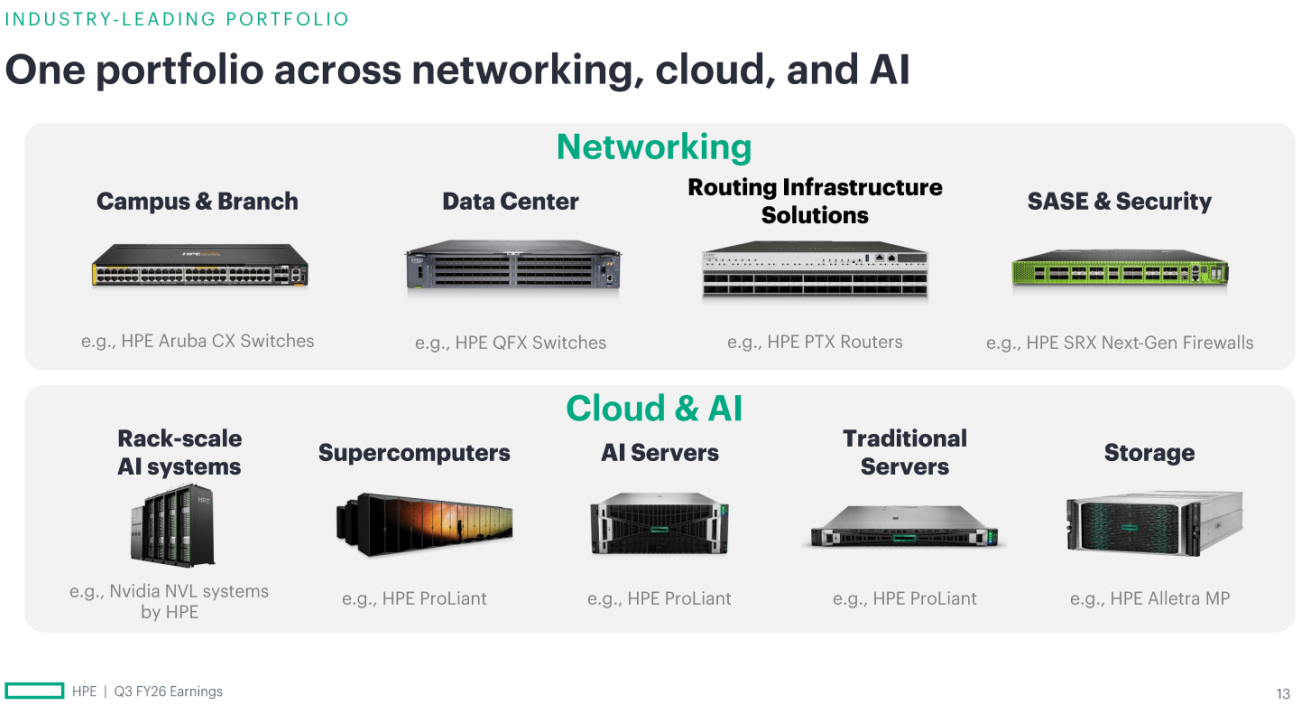
HPE qualifies as a watchlist beneficiary. It has relevant routing silicon, network operations software, enterprise relationships and liquid-cooling expertise. Competition, component pass-through, working capital and customer financing constrain economic capture. Networking has better margin potential than a pure GPU-resale business; full-rack revenue and per-share value therefore need separate bridges.

The active model includes favorable Helios adoption and an adverse server-cost branch with explicit probabilities. Most value still comes from the current operating reference. No analyst price target or multiple expansion is imported, and the Base score is never multiplied into revenue or the ceiling.

This is a synchronized full artifact and model snapshot, not a partial review. The dated quote is contextual; price-dependent upside and ranking remain in Excel. All other values are USD millions unless a table specifies shares or per-share units.

The business and its economic layers

One company, multiple profit pools



Issuer exhibit 1. HPE Q3 FY2026 presentation, actual PDF page 13. Portfolio architecture; this is not an earnings forecast. [S2]

Networking

Campus and branch connectivity, data-center switching, routing, security and associated software/support serve different buying cycles. Aruba and Juniper bring enterprise distribution, Mist/Marvis operations and routing capabilities. Recurring support and management workflows can strengthen customer retention; hardware still faces replacement cycles and pricing competition.

Cloud & AI

Traditional servers, AI systems, storage, financial services and other cloud activities are consolidated in the new segment structure. HPE earns for integration, reliability, deployment, cooling and support as well as hardware. GreenLake is a commercial and operating platform across this portfolio, not an extra revenue bucket to add on top.

How value is captured

An AI deployment can buy HPE servers and networking, with storage, services and financing attached. The model reconciles these into nine product vectors and avoids counting the same spend as both AI systems and an independent TAM entitlement. Juniper was acquired in July 2025; reported growth around that date must be separated from normalized growth. [S2-S5]

Two calls show demand and normalization

Management evidence | Fiscal Q2 and Q3 FY2026

Signal	June 1 / fiscal Q2	September 2 / fiscal Q3
Normalized Networking revenue growth	10%	10%; reported growth 74.9% includes acquisition comparability
Networking orders	Strong demand and component commitments	36% normalized growth
AI systems orders	1,800	2,400
AI systems backlog	5,900	6,800
Networks for AI orders	Cumulative order target raised	700 in quarter; 2,200 cumulative
GreenLake customers	About 50,000	About 52,000; +18% year over year
Traditional server demand	Orders more than doubled year over year	Strong modernization and price realization; unit supply constrained
Cloud & AI margin	Positive price/mix progression	17% segment OP margin; FY27 guide approximately 13%
Helios in FY27 guide	Early product opportunity	Explicitly excluded from September guide

Sources: issuer-hosted earnings call transcripts and Q3 presentation. These dates refer to fiscal periods; none is a reported calendar-quarter actual. [S2-S4]

The constructive read

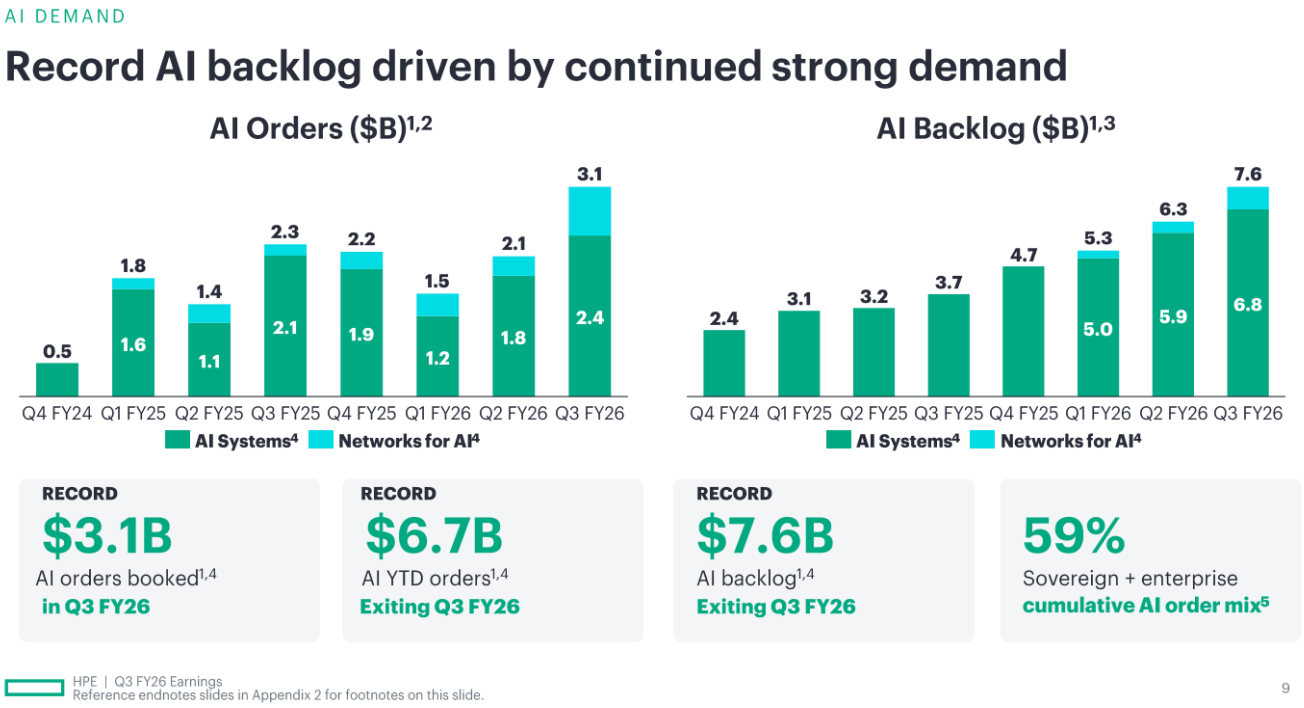
Demand has broadened beyond one type of AI buyer. Networking orders exceed revenue growth, sovereign and enterprise deployments remain material, and HPE can attach higher-value networking to rack systems. The new platform can open deals that were less attractive when HPE mainly resold compute hardware. [S3, S12]

The necessary counter

Record quarterly profitability includes unusually favorable price and mix. Management expects moderation as AI hardware grows and component pricing resets. Strong orders are not irrevocable revenue: power availability, customer acceptance, supplier delivery and cancellations govern recognition. The reference already normalizes Cloud & AI profitability; the adverse breadcrumb models only additional pressure.

Order evidence: scale without double counting

Actual source image placed beside its numerical interpretation



Issuer exhibit 2. HPE Q3 FY2026 presentation, actual PDF page 9. AI systems and Networks for AI have different scopes. [S2]

Fiscal quarter	Systems orders ($bn)	All AI orders ($bn)	Systems backlog ($bn)	All AI backlog ($bn)
Q4 FY24	.5	.5	2.4	Not disclosed
Q1 FY25	1.6	1.8	3.1	Not disclosed
Q2 FY25	1.1	1.4	3.2	Not disclosed
Q3 FY25	2.1	2.3	3.7	Not disclosed
Q4 FY25	1.9	2.2	4.7	Not disclosed
Q1 FY26	1.2	1.5	5.0	5.3
Q2 FY26	1.8	2.1	5.9	6.3
Q3 FY26	2.4	3.1	6.8	7.6

The $7.6bn combined backlog includes approximately $0.8bn of Networks for AI; it is not $7.6bn of server backlog. Systems includes products and services, while Networks for AI excludes services. The 59% sovereign/enterprise statistic is cumulative order mix since fiscal Q1 FY2023, not current revenue mix. Backlog can change with cancellation, rebooking and fulfillment. [S2 endnotes]

Backlog supports execution probability and timing. It is not added a second time to guidance-derived revenue. The model treats the known new Vultr contract separately because September guidance explicitly excluded Helios.

Latest guidance and the reference anchor

September 30 supersedes older Networking growth and synergy targets

Input	Current issuer guidance	Reference treatment
FY27 Networking growth	High teens to low twenties [S7]	20%
FY26-29 Networking CAGR	High teens [S7]	20% in FY27; total FY26-29 CAGR 18.87%
FY27-29 Networking OP margin	Mid-to-high twenties [S7]	26%, 26.5%, 27%
DC Networking / Routing CAGR	Low-to-high fifties / low-to-high twenties through FY29 [S7]	50% / 20% FY26-29 endpoints; lower-range model interpretation
Campus / Security CAGR	High single digits [S7]	8% FY26-29 endpoint CAGR
Juniper savings	800 annual run-rate by FY28 end [S7]	Included in margin path; no separate profit addition
FY27 Cloud & AI growth / margin	14-18% / approximately 13% [S3]	16% / 13%; later growth is extrapolated
FY27 consolidated guide, Sep 2	13-17% revenue, 14-18% OP growth, 14-15% OP margin [S3]	Cross-check; today's Networking update is newer
FY26 fiscal Q4 revenue	13,900-14,800 [S1-S3]	14,350 midpoint
FY26 adjusted OP growth	100-105% on recast prior year [S1-S3]	6,789.825 full year; Q4 residual 2,205.825

Today's release is a Networking update. A modeled aggregate above September's consolidated range must not be presented as newly issued company-wide guidance. The former $600m savings target is superseded; only $800m is active. [S7]

Why the model can differ from guidance

The reference uses guidance as an anchor, then makes category mix, cost, dilution and timing assumptions visible. B1/B2 add only modeled Cloud & AI Helios exposure after a networking overlap reserve. Oracle's networking expansion and the known inference-server deal already sit in the reference and do not receive separate revenue additions.

Reported economics and reconciliation

Fiscal actuals | USD millions

Metric	Q1 FY26	Q2 FY26	Q3 FY26
Revenue	9,301	10,678	12,213
GAAP gross profit	3,340	3,900	4,899
Adjusted gross profit	3,403	3,937	4,928
GAAP operating profit	470	747	1,393
Adjusted operating profit	1,182	1,423	1,979
Adjusted R&D	659	827	1,087
Adjusted SG&A	1,562	1,687	1,862
Operating cash flow	1,178	1,410	1,641
Company-defined free cash flow	708	915	958
Diluted shares (m)	1,432	1,432	1,449

Fiscal Q3 adjusted operating profit bridge

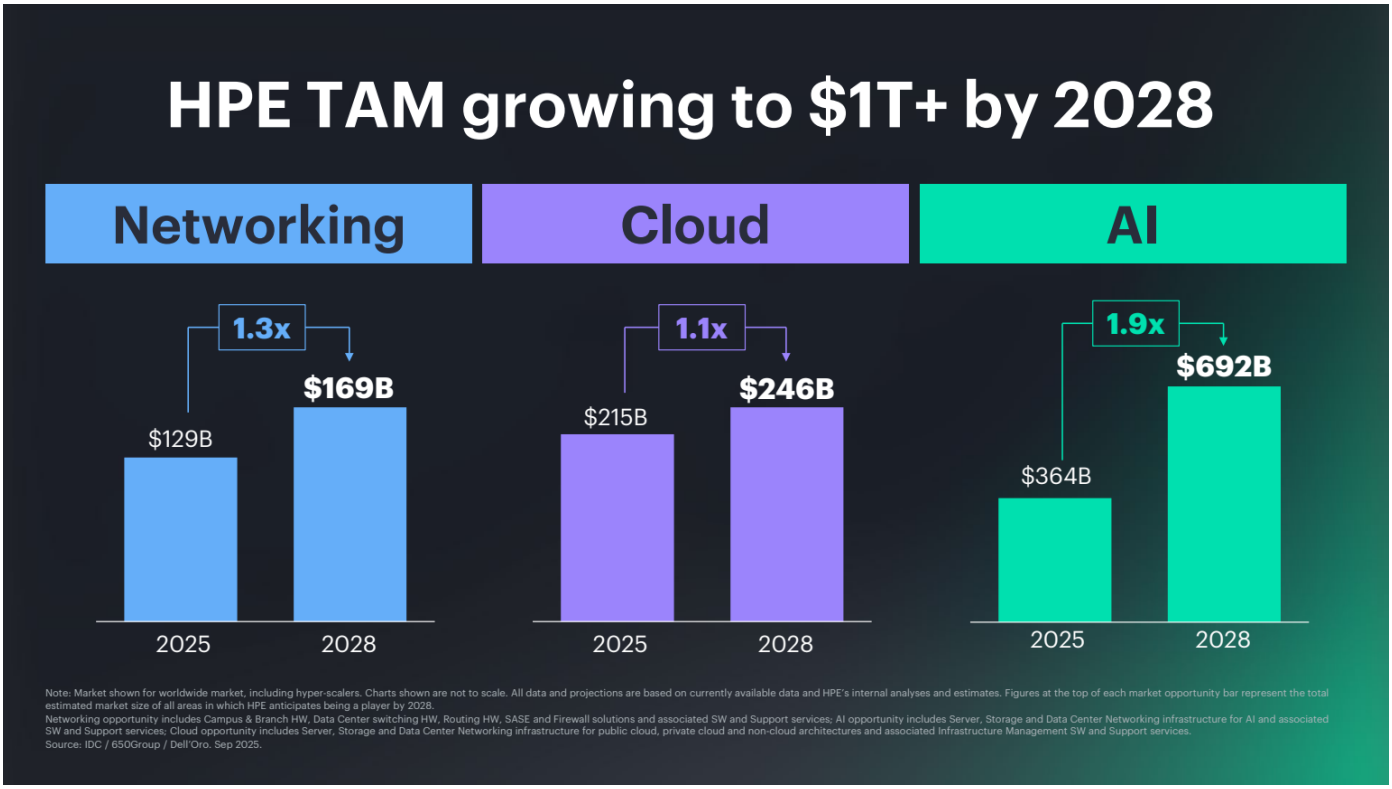
Reconciliation	USDm
GAAP OP	1,393
Stock-based compensation	165
Acquired-intangible amortization	315
Cost-reduction charges	31
Acquisition / disposition and other adjustments	75
Adjusted OP	1,979

Ordinary depreciation remains in operating expense; this is not EBITDA or GAAP net income. Fiscal Q3 adjusted OP less interest/other of 107 and tax of 262 gives adjusted net income of 1,610. Interest and taxes are not subtracted a second time in the selected OP convention. SBC and deal costs remain economic considerations despite their adjusted treatment. [S1, S2, S5]

Company FCF includes its stated adjustments to cash flow, capital expenditure, proceeds and currency; it is not simply GAAP operating cash flow minus capex. GAAP profitability, adjusted profit and cash conversion answer different questions. [S1, S2]

TAM is forward evidence, not revenue entitlement

Historical source anchor with scope boundaries preserved



Issuer exhibit 3. HPE SAM 2025, PDF page 7; estimates sourced in September 2025. Dated market context, not a September 2026 TAM revision. [S11]

Worldwide market ($bn)	2025	2028	Scope
Networking	129	169	Campus, DC switching, routing, security, software/support
Cloud	215	246	Server, storage, DC networking and related software/support
AI	364	692	AI server, storage, networking and software/support

These categories overlap. Their sum is not a clean incremental opportunity, and total HPE sales divided by the AI market is not a comparable market share. The issuer's $1tn-plus headline gives strategic context; the model does not allocate a fixed share of it to HPE. The latest September 30 figures are company growth targets, not a new dollar-TAM forecast. [S7, S11]

Scope-matched check

The model's FY2028 reference Networking revenue of $15.97bn is approximately 9.4% of the cited $169bn 2028 Networking market. This is a rough scale check because timing, category definitions and future market revisions remain uncertain; it is not measured share guidance.

No dollar TAM beyond the cited endpoint is fabricated. Future revenue assumptions are bounded by company categories, existing product scale and identified incremental contracts, with confidence declining beyond the next 12-16 months.

Ford Principle, moat and competition

Expansion matters before it is fully visible in reported earnings

Phase	Demand mechanism	Economic treatment
Today / 100% phase weight	Enterprise refresh, installed campus/routing and documented AI orders	Commercial reference; no extra TAM added
3-5 years / 50% phase weight	Private/sovereign inference and integrated AI racks broaden addressable deployments	Explicit bounded Helios branches; networking attach reserved for overlap
New markets / 20% phase weight	Autonomous enterprise and edge systems raise distributed infrastructure requirements	Strategic option; no invented robot or edge revenue pool

Framework phase weights organize the thesis. They are not multiplied again into the probabilities or earnings model. Efficiency can make new workloads feasible, but savings do not automatically become HPE revenue.

Moat that can support earnings

Mist/Marvis workflows, installed enterprise relationships, routing silicon, support, certification and deployment expertise can make replacement costly. Integrating Aruba with Juniper creates a wider route to market and makes cross-selling practical. Liquid cooling and a networking tray can improve full-rack economics versus compute-only resale. [S12, S15]

Where substitution remains real

HPE's annual report names Dell, SMCI, Lenovo, Cisco and white boxes in servers; Cisco, Arista, Nvidia and other specialists in networking; and cloud/software vendors in hybrid cloud. Merchant switch silicon is available to rivals. Nvidia and AMD are partners with their own platform influence; HPE cannot assume ownership of their margins. [S6]

Regulatory boundary on exclusivity

The Juniper settlement requires Instant On divestiture and up to two Mist AIOps source-code licenses. The court approved the settlement in August 2026. Ongoing software execution, support and installed context still matter, but a permanent exclusive-code monopoly is not supported. [S5, S14]

Classification remains BENEFICIARY. There is no sole-source capacity allocation or physical input that every AI deployment must buy from HPE.

Framework score and risks

One explicit score; event probabilities remain separate

Category	Score	Reason
Core thesis	13/20	Juniper silicon, Mist/Aruba software and liquid-cooling integration differentiate HPE; neither server supply nor networking is exclusive.
Cycle stage	9/10	AI rack systems and AI networking are in an evidenced order-to-deployment ramp; mature enterprise franchises remain substantial.
TAM expansion	8/10	Networking, sovereign/enterprise AI and edge autonomy broaden the opportunity; overlapping system spending is not additive.
Catalysts	5/5	Dated FY27 orders, Helios deliveries, networking acceleration and Juniper integration over 6-18 months.
Macro	9/10	AI inference and enterprise modernization increase compute/network demand; supply and capital availability still gate recognition.
Alpha	2/5	Same-day guidance and excluded Helios opportunity provide a concrete bridge, but issuer is widely followed.
Risks	-5	Five classes: price/competition, integration, supply/acceptance, financing/dilution, customer/policy concentration.
Total	41/60	68% rounded; BENEFICIARY / Watchlist

Pre-analysis: supercycle and S-curve

AI infrastructure and enterprise modernization form the demand cycle. HPE's mature franchise funds the transition; integrated AI systems and networking are in an order-to-deployment ramp. The next 6-18 months provide the clearest tests. Longer-term product mix and profit estimates carry materially lower confidence.

Five distinct risk classes

1. Pricing and competition: open hardware ecosystems limit premiums. **2. Integration:** Juniper savings, channel alignment and platform unification may slip. **3. Supply and acceptance:** components, customer power and deployment readiness delay recognition. **4. Financing and dilution:** debt, working capital, preferred conversion and customer warrants limit equity capture. **5. Customer and policy concentration:** large deployments and sovereign programs can change abruptly.

These are five scored deductions, not five independent probabilities multiplied into revenue. Macro conditions appear in the Macro score, while each quantified breadcrumb has its own identified transmission. Public visibility limits the Alpha score; reported size is not itself an information advantage.

How the operating reference is built

Nine product vectors reconcile to segment anchors

Revenue

Fiscal Q4 FY2026 totals the explicit $14.35bn midpoint. Its product mix follows the latest reported quarter within segment constraints. FY2027 segment totals grow from the complete FY2026 actual-plus-guided base, with product mix normalized to those totals. Networking FY2029 endpoints then apply the current category CAGR directions; FY2028 interpolates from FY2027 to FY2029. Cloud & AI keeps segment totals as its independent anchors.

Relative annual product mix weights	Rate	Role
Campus & branch / Security	8% / 8%	FY26-29 endpoint CAGRs
Data-center networking / Routing	50% / 20%	FY26-29 endpoint CAGR interpretation
Server / Storage	19% / 8%	Analyst mix proxy within Cloud & AI
Financial services / Cloud other	3% / 4%	Analyst mix proxy
Corporate & other	0%	Held flat

FY2027 uses prior-year product revenue x (1 + mix weight), normalized to segment totals. FY2029 Networking endpoints equal FY2026 category revenue x (1 + CAGR)^3; FY2028 follows a geometric bridge from FY2027. Cloud product weights remain normalized to segment growth. Quarterly seasonality follows each product's FY2026 pattern.

Costs

Product gross-margin estimates translate revenue mix into gross profit. Segment OP margins anchor the profit reference, so implied operating expenses equal gross profit less segment OP, plus central costs. R&D/SG&A are allocated using the Q3 adjusted expense mix. Both expenses remain visible; the residual allocation is not reported forward cost guidance.

Fiscal Q4 server gross margin calibrates to 24.99% after revenue and OP guidance, other product margin proxies and a 2% sequential operating-expense reduction are fixed. It is a residual estimate, not a disclosed server margin. FY2027 calibrates server gross margin to 20.29% while retaining 13% Cloud & AI OP margin and a 2% decline in reference operating expense.

The FY2027 expense decline is a model interpretation of management guidance. Server GM is the residual that reconciles that expense budget with the segment OP anchors and other product-GM proxies; it improves only 0.2 percentage points in each of FY2028 and FY2029. It is not independently reported product economics.

Beyond issuer visibility

Cloud & AI reference growth declines to 13%, 11% and 9% in FY2028-30; Networking growth moderates to 15% in FY2030. These are extrapolations, not company guidance. Fiscal Q1 FY2031 exists only to complete the last calendar-quarter interpolation.

Product revenue vectors

Reference revenue before Helios increments | USD millions | Fiscal years

Product	FY2026	FY2027	FY2028	FY2029	FY2030
Campus & branch	5,511.7	6,100.3	6,508.1	6,943.2	7,012.0
Data-center networking	1,548.9	2,380.9	3,527.9	5,227.4	7,332.2
Security	1,105.3	1,223.4	1,305.2	1,392.4	1,406.2
Routing	3,174.0	3,903.3	4,626.9	5,484.7	6,154.5
Server	24,698.9	29,556.8	34,361.0	39,138.8	43,673.8
Storage	5,100.6	5,539.6	5,844.7	6,042.0	6,118.8
Financial services	3,739.3	3,873.1	3,897.2	3,842.3	3,711.0
Cloud & AI other	565.3	591.2	600.7	598.0	583.2
Corporate & other	1,098.0	1,098.0	1,098.0	1,098.0	1,098.0
Total reference	46,542.0	54,266.6	61,769.7	69,766.7	77,089.7

Each row is a separately modeled revenue vector. Reference Networking is the first four products; Cloud & AI is Server through Cloud & AI other. B1/B2 are added only as incremental Cloud & AI systems revenue after the overlap reserve. Fiscal FY2026 combines three reported quarters with the Q4 guidance anchor; later years are modeled.

Fiscal year	Networking growth	Networking OP margin	Cloud & AI growth	Cloud & AI OP margin	Central costs / reference sales
2027	20%	26.0%	16%	13.0%	1.0%
2028	17%	26.5%	13%	13.2%	1.0%
2029	19%	27.0%	11%	13.3%	1.0%
2030	15%	27.2%	9%	13.3%	1.0%

Current Networking margins already reflect the $800m run-rate integration program and ordinary operating leverage. Neither that savings figure nor Oracle demand is a separate additional profit line. Corporate & other OP is modeled at -8% of its flat sales, before central costs. This remaining-business allocation is LOW confidence: Telco Solutions was sold August 1, 2026; consolidated Q4 guidance includes the disposal, but its standalone revenue was not isolated in the latest tables. No sale proceeds or gain is capitalized.

Product gross margins and gross profit

Estimated product profitability | Not issuer-disclosed product margins

Product	FY2027 GM	FY2028 GM	FY2029 GM	FY2030 GM	FY27 GP	FY28 GP	FY29 GP	FY30 GP
Campus & branch	64.0%	64.0%	64.0%	64.0%	3,904	4,165	4,444	4,488
Data-center networking	46.0%	46.0%	46.0%	46.0%	1,095	1,623	2,405	3,373
Security	68.0%	68.0%	68.0%	68.0%	832	888	947	956
Routing	61.0%	61.0%	61.0%	61.0%	2,381	2,822	3,346	3,754
Server	20.3%	20.5%	20.7%	20.7%	5,998	7,041	8,098	9,037
Storage	60.0%	60.0%	60.0%	60.0%	3,324	3,507	3,625	3,671
Financial services	13.0%	13.0%	13.0%	13.0%	504	507	499	482
Cloud & AI other	45.0%	45.0%	45.0%	45.0%	266	270	269	262
Corporate & other	10.0%	10.0%	10.0%	10.0%	110	110	110	110

Each gross-profit vector equals reference product revenue x its explicit estimated GM. The actual fiscal Q3 model retains reported segment GP only: Networking 1,721; Cloud & AI 3,183; Corporate & other 24. No invented actual product margins are backfilled. Fiscal Q4 server GM is a guidance-calibrating residual.

Reference gross profit reconciliation	FY2027	FY2028	FY2029	FY2030
Networking GP	8,212.4	9,498.0	11,140.8	12,570.9
Cloud & AI GP	10,090.8	11,324.9	12,492.2	13,453.0
Corporate & other GP	109.8	109.8	109.8	109.8
Reference GP	18,413.0	20,932.6	23,742.7	26,133.7
Reference R&D	3,819.6	4,241.0	4,712.8	5,101.7
Reference SG&A	6,542.9	7,264.7	8,072.9	8,739.1
Reference OP	8,050.5	9,426.9	10,957.0	12,292.9

Helios increments use a separate 18% GM, 2% R&D and 6% SG&A bridge, producing 10% incremental OP. The adverse branch subtracts only extra server gross cost. It does not lower revenue or automatically cut operating expenses.

Margins and operating leverage

Model-generated chart | Reference and active economics are separately visible

Fiscal-year active margin path

Percent

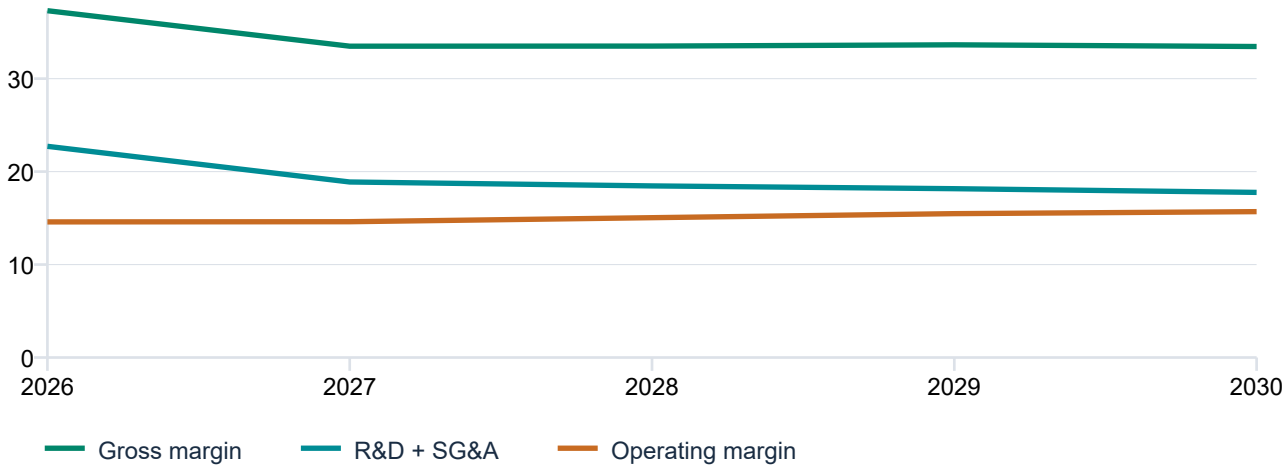


Figure 4. Our model. Fiscal 2026 includes three reported quarters and modeled Q4; future years are estimates. Higher networking profit offsets lower-margin AI hardware mix.

Fiscal year	Gross margin	R&D / sales	SG&A / sales	Total opex	OP margin
2026	37.3%	7.8%	14.9%	22.7%	14.6%
2027	33.5%	6.9%	11.9%	18.9%	14.6%
2028	33.5%	6.8%	11.7%	18.5%	15.0%
2029	33.6%	6.7%	11.5%	18.2%	15.5%
2030	33.5%	6.5%	11.2%	17.8%	15.7%

Fiscal annual operating cross-check

FY	Revenue	GP	R&D	SG&A	Adjusted OP
2026	46,542	17,364	3,638	6,936	6,790
2027	55,333	18,531	3,841	6,607	8,083
2028	62,755	21,024	4,261	7,324	9,440
2029	70,901	23,849	4,736	8,141	10,973
2030	78,602	26,297	5,132	8,830	12,335

OP = GP - R&D - SG&A. Higher networking mix offsets some low-margin hardware growth. Forward R&D/SG&A is a calibrated allocation, not independently disclosed hiring guidance. Margin sensitivity later exposes this uncertainty.

B1: a known order, uncertain conversion

Explicit probability ledger | 85% active weight

Fact: HPE announced a $1.2bn first Helios order from Vultr on September 30. The rack contains 72 AMD MI455X GPUs and six HPE Juniper scale-up switch trays. **Timing evidence:** Vultr's July announcement takes reservations for 2027-2028 deployment. No source supplies the exact HPE revenue schedule, rack count or segment split. [S8, S9]

Element	Current model assumption
Conditional order face	1,200
Networking overlap reserve	10% = 120; treated as already inside revised Networking reference
Eligible Cloud & AI revenue	1,080 before probability
Recognition allocation	FY27 Q2 15%; FY27 Q3 30%; FY27 Q4 30%; FY28 Q1 25%
Execution / timing probability	85%; one joint judgment, applied once
Active recognized revenue	918 over the modeled schedule
Incremental economics	18% GM less 2% R&D and 6% SG&A = 10% OP
Source correlation	Order announcement and customer deployment evidence describe the same program, not two independent wins

85% is an analytical estimate justified by a named order, while allowing for acceptance, component availability, power readiness and schedule risk. The chosen schedule front-loads the broader customer deployment window; it is not a statement of contracted delivery dates. Any recognized amount outside this modeled window is excluded until timing is revised.

Incrementality and overlap

September 2 guidance explicitly excluded Helios. The newer September 30 Networking update may include the switch portion, so 10% of rack value is reserved from the increment. This is a modeling proxy, not a bill of materials. The 20% reserve sensitivity exposes uncertainty. No separate six-tray revenue is added. [S3, S7, S12]

Evidence changes the probability

Raise the weight toward 95% after accepted shipments. Reduce it toward 60%, or shift the quarterly allocation, if AMD ramp or customer readiness slips. A delayed contract is not necessarily canceled; timing must move explicitly rather than silently disappear.

B2 and B3: upside and downside both count

Prospective demand is modeled before confirmation; adverse evidence also changes earnings

B2: additional Helios customers - 35%

Management describes multiple proofs of concept and improved addressability from networking attachment. The model uses one, two, three and four additional $1.2bn contract-equivalents in FY2027-30. These are bounded size proxies, not announced customer counts. The 35% weight reflects one credible platform-commercialization pathway with uncertain conversion. [S3, S8, S12]

FY	Conditional order equivalents	Eligible revenue after 10% reserve	Active B2 revenue
2027	1	1,080	378
2028	2	2,160	756
2029	3	3,240	1,134
2030	4	4,320	1,512

FY2027 recognition weights are 0%, 10%, 30%, 60%; later years use 20%, 25%, 25%, 30%. Incremental GM/opex are the same as B1. The known Vultr order, Oracle demand and the existing inference-server deal are excluded. B1 and B2 share platform-readiness risk; their success is not statistically independent.

Raise B2 to 50% with another named customer or independently supported order. Reduce it to 15% if qualified follow-on demand fails to convert through fiscal Q3 FY2027. Later contract-equivalent counts are lower-confidence extrapolations, not an unlimited TAM claim.

B3: additional server cost pressure - 25%

Supply agreements secure access but not necessarily prices; hardware competitors can limit pass-through. The reference already reduces Cloud & AI OP margin to 13%. B3 adds a separate one-percentage-point server gross-cost shortfall from FY2027 with a 25% weight: reference Server revenue x 1% x 25%. [S3, S5, S12]

B3 does not touch new Helios increments because their 18% GM already represents a lower-margin hardware mix. Revenue, R&D and SG&A are unchanged under this cost shock. Reduce the probability to zero when pricing consistently absorbs input costs; raise it toward 40% on margin misses or adverse fixed-price backlog evidence.

Base 68 measures the overall thesis. It is not an additional probability multiplier. All three branches have economic transmission, bounded magnitude, timing and a condition for revision.

Conditional versus probability-weighted transmission

Fiscal quarters | USD millions | Positive columns are revenue; B3 is OP cost

Fiscal quarter	B1 full eligible	B1 active 85%	B2 full eligible	B2 active 35%	B3 full cost	B3 active 25%	Net active OP effect
FY2027 Q1	0.0	0.0	0.0	0.0	50.6	12.7	-12.7
FY2027 Q2	162.0	137.7	108.0	37.8	65.3	16.3	1.2
FY2027 Q3	324.0	275.4	324.0	113.4	81.0	20.2	18.6
FY2027 Q4	324.0	275.4	648.0	226.8	98.7	24.7	25.5
FY2028 Q1	270.0	229.5	432.0	151.2	58.9	14.7	23.4
FY2028 Q2	0.0	0.0	540.0	189.0	75.9	19.0	-0.1
FY2028 Q3	0.0	0.0	540.0	189.0	94.1	23.5	-4.6
FY2028 Q4	0.0	0.0	648.0	226.8	114.7	28.7	-6.0
FY2029 Q1	0.0	0.0	648.0	226.8	67.1	16.8	5.9
FY2029 Q2	0.0	0.0	810.0	283.5	86.4	21.6	6.7
FY2029 Q3	0.0	0.0	810.0	283.5	107.2	26.8	1.5
FY2029 Q4	0.0	0.0	972.0	340.2	130.7	32.7	1.3
FY2030 Q1	0.0	0.0	864.0	302.4	74.8	18.7	11.5
FY2030 Q2	0.0	0.0	1,080.0	378.0	96.4	24.1	13.7
FY2030 Q3	0.0	0.0	1,080.0	378.0	119.6	29.9	7.9
FY2030 Q4	0.0	0.0	1,296.0	453.6	145.8	36.5	8.9

Reference values exclude all three incremental branches. Conditional values are before event probability, after the 10% Networking overlap reserve. Active OP increment = (B1 active + B2 active) x10% - B3 active. These figures are not the whole company profit forecast.

Active window Q3 2027-Q2 2028	Reference OP	B1 OP add	B2 OP add	B3 OP cost	Active OP
USDm	8,896.13	59.67	73.08	80.80	8,948.08

A small net ceiling effect can coexist with meaningful positive and negative branches; positive demand is not mechanically forced to dominate costs. No-increment diagnostics remove all three branches together.

Quarterly revenue and mix

Model-generated chart | Calendar allocation; detailed product vectors on pages 11-12

Reference segments plus incremental Helios

USD billions

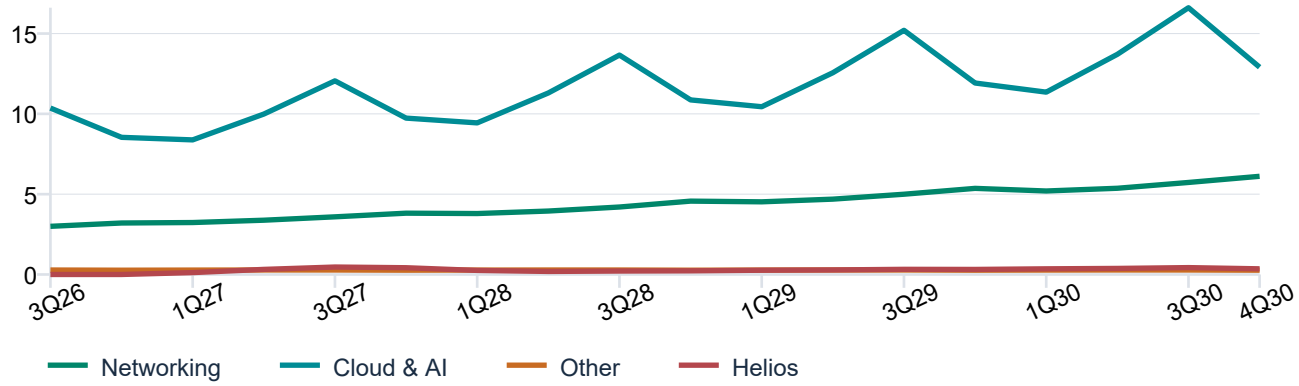


Figure 5. Our calendar model. Components sum to active total revenue; Cloud & AI reference excludes incremental Helios. B3 changes costs only. All rows are modeled, not reported calendar actuals.

Quarter	Network	Cloud & AI	Other	Helios	Total
Q3 2026	3.00	10.36	0.28	0.00	13.64
Q4 2026	3.20	8.54	0.27	0.00	12.01
Q1 2027	3.23	8.38	0.27	0.12	12.01
Q2 2027	3.38	9.99	0.28	0.32	13.96
Q3 2027	3.59	12.06	0.28	0.46	16.39
Q4 2027	3.82	9.74	0.27	0.42	14.24
Q1 2028	3.79	9.44	0.27	0.25	13.76
Q2 2028	3.95	11.30	0.28	0.19	15.72
Q3 2028	4.20	13.66	0.28	0.21	18.35
Q4 2028	4.57	10.87	0.27	0.23	15.93
Q1 2029	4.52	10.44	0.27	0.26	15.51
Q2 2029	4.69	12.56	0.28	0.28	17.81
Q3 2029	5.00	15.20	0.28	0.32	20.80
Q4 2029	5.36	11.92	0.27	0.32	17.86
Q1 2030	5.20	11.35	0.27	0.35	17.18
Q2 2030	5.37	13.71	0.28	0.38	19.73
Q3 2030	5.73	16.61	0.28	0.43	23.05
Q4 2030	6.11	12.91	0.27	0.35	19.64

USD billions throughout this table. FY2026 seasonality supplies the monthly allocation proxy. Confidence is MEDIUM through 2027 and LOW thereafter. Calendar totals must not be mislabeled as fiscal totals; fiscal annual reconciliation appears on page 13.

Fiscal-to-calendar bridge

Uniform-month interpolation is a model assumption

Fiscal row	Reference revenue	Active revenue	Reference OP	Active OP	Diluted shares (m)	Status
FY2026 Q3	12,213.0	12,213.0	1,979.0	1,979.0	1,449.000	Actual
FY2026 Q4	14,350.0	14,350.0	2,205.8	2,205.8	1,454.964	Model
FY2027 Q1	10,839.6	10,839.6	1,672.6	1,659.9	1,456.774	Model
FY2027 Q2	12,412.5	12,588.0	1,847.8	1,849.1	1,458.587	Model
FY2027 Q3	14,261.4	14,650.2	2,103.2	2,121.9	1,460.401	Model
FY2027 Q4	16,753.1	17,255.3	2,426.8	2,452.3	1,462.218	Model
FY2028 Q1	12,350.9	12,731.6	1,970.0	1,993.3	1,464.038	Model
FY2028 Q2	14,084.0	14,273.0	2,156.4	2,156.3	1,465.859	Model
FY2028 Q3	16,252.1	16,441.1	2,462.9	2,458.3	1,467.683	Model
FY2028 Q4	19,082.6	19,309.4	2,837.7	2,831.7	1,469.509	Model
FY2029 Q1	14,011.9	14,238.7	2,313.6	2,319.5	1,471.337	Model
FY2029 Q2	15,856.9	16,140.4	2,497.2	2,504.0	1,473.167	Model
FY2029 Q3	18,365.5	18,649.0	2,860.3	2,861.8	1,475.000	Model
FY2029 Q4	21,532.4	21,872.6	3,285.9	3,287.2	1,476.835	Model
FY2030 Q1	15,556.3	15,858.7	2,622.3	2,633.8	1,478.673	Model
FY2030 Q2	17,458.0	17,836.0	2,789.0	2,802.7	1,480.513	Model
FY2030 Q3	20,300.6	20,678.6	3,206.2	3,214.1	1,482.355	Model
FY2030 Q4	23,774.8	24,228.4	3,675.5	3,684.4	1,484.199	Model
FY2031 Q1	17,039.3	17,341.7	2,909.5	2,919.1	1,486.045	Model

Fiscal Q1 = Nov-Jan; Q2 = Feb-Apr; Q3 = May-Jul; Q4 = Aug-Oct. Calendar Q1 = 1/3 fiscal Q1 + 2/3 fiscal Q2; calendar Q2 = 1/3 fiscal Q2 + 2/3 fiscal Q3; calendar Q3 = 1/3 fiscal Q3 + 2/3 fiscal Q4; calendar Q4 = 1/3 fiscal Q4 + 2/3 next fiscal Q1. Revenue, profit, costs and share denominators use the same mapping.

This assumes even monthly activity inside each fiscal quarter. Large systems acceptances can be lumpy, so calendar timing is less precise than the fiscal model. Fiscal Q1 FY2031 is only a tail allocation input; there is no unmodeled quarterly annualization.

Calendar quarterly operating model

All 18 rows are model allocations | USD millions | Confidence declines beyond 2027

Calendar quarter	Revenue	Gross profit	R&D	SG&A	Adjusted OP	OP margin	Shares (m)	Confidence
Q3 2026	13,637.7	5,039.9	1,072.5	1,837.2	2,130.2	15.6%	1,452.976	MEDIUM
Q4 2026	12,009.7	4,290.8	902.6	1,546.2	1,841.9	15.3%	1,456.171	MEDIUM
Q1 2027	12,005.2	4,153.8	871.7	1,496.1	1,786.0	14.9%	1,457.983	MEDIUM
Q2 2027	13,962.8	4,644.1	960.2	1,653.0	2,030.9	14.5%	1,459.797	MEDIUM
Q3 2027	16,386.9	5,296.6	1,084.6	1,869.8	2,342.2	14.3%	1,461.613	MEDIUM
Q4 2027	14,239.5	4,847.3	991.6	1,709.4	2,146.3	15.1%	1,463.431	MEDIUM
Q1 2028	13,759.2	4,737.5	969.1	1,666.5	2,102.0	15.3%	1,465.252	LOW
Q2 2028	15,718.4	5,244.3	1,062.3	1,824.5	2,357.6	15.0%	1,467.075	LOW
Q3 2028	18,353.3	5,964.0	1,198.4	2,058.4	2,707.2	14.8%	1,468.900	LOW
Q4 2028	15,928.9	5,479.8	1,099.8	1,889.8	2,490.2	15.6%	1,470.728	LOW
Q1 2029	15,506.5	5,367.5	1,075.6	1,849.3	2,442.5	15.8%	1,472.557	LOW
Q2 2029	17,812.8	5,953.6	1,180.9	2,030.2	2,742.5	15.4%	1,474.389	LOW
Q3 2029	20,798.1	6,769.2	1,332.7	2,291.1	3,145.4	15.1%	1,476.224	LOW
Q4 2029	17,863.4	6,136.1	1,207.7	2,076.8	2,851.6	16.0%	1,478.060	LOW
Q1 2030	17,176.9	5,915.4	1,164.7	2,004.2	2,746.4	16.0%	1,479.899	LOW
Q2 2030	19,731.1	6,554.3	1,278.2	2,199.2	3,076.9	15.6%	1,481.741	LOW
Q3 2030	23,045.1	7,453.9	1,443.2	2,483.1	3,527.6	15.3%	1,483.584	LOW
Q4 2030	19,637.3	6,707.6	1,299.0	2,234.3	3,174.2	16.2%	1,485.430	LOW

Quarterly OP = gross profit - R&D - SG&A. Each operating row includes the active probability-weighted increments once. All calendar quarters are modeled, including Q3 2026, which blends an actual fiscal quarter with a guided fiscal quarter. FY2026 seasonality is retained as a transparent proxy, not assumed reporting precision.

Diluted shares include the 1,449m anchor, a 0.5% annual net-growth proxy and the full 4.156466m Oracle reserve from the first forecast fiscal quarter. Calendar shares interpolate the two fiscal denominators; no buyback benefit is assumed.

Quarterly ceilings and confidence

Model-generated valuation chart | USD per share

20x forward-four-quarter adjusted OP

USD / share

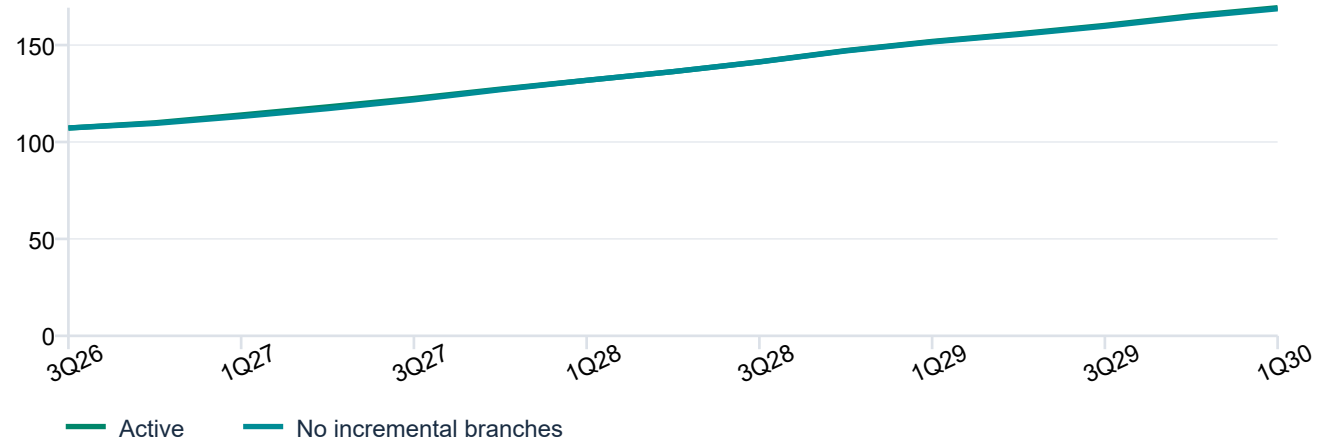


Figure 6. Our model; same valuation basis, horizon and shares in both paths. The no-increment control removes favorable and adverse branches together.

Ceiling quarter	Active ceiling ($)	No-increment control ($)	Confidence
Q3 2026	107.22	107.20	MEDIUM
Q4 2026	109.89	109.56	MEDIUM
Q1 2027	113.93	113.15	MEDIUM
Q2 2027	118.12	117.19	MEDIUM
Q3 2027	122.44	121.73	MEDIUM
Q4 2027	127.28	126.96	MEDIUM
Q1 2028	131.81	131.80	LOW
Q2 2028	136.29	136.30	LOW
Q3 2028	141.36	141.28	LOW
Q4 2028	147.15	146.97	LOW
Q1 2029	151.87	151.61	LOW
Q2 2029	155.81	155.46	LOW
Q3 2029	160.14	159.71	LOW
Q4 2029	165.12	164.58	LOW
Q1 2030	169.27	168.72	LOW

The ceiling is the active probability-weighted model output for each quarter, not a broker target, promised trading level or price-relative return. Later values depend increasingly on extrapolated mix, margins, execution and dilution. No target-price consensus is imported.

All 15 ceiling derivations

Every ceiling uses its own exact four-quarter operating-profit sum

Ceiling quarter	Underlying calendar OP inputs ($m)	Forward 4Q OP	Multiple	Shares (m)	Ceiling ($)
Q3 2026	2,130.22 + 1,841.90 + 1,786.02 + 2,030.92 | Q3 2026 - Q2 2027	7,789.067	20x	1,452.976	107.22
Q4 2026	1,841.90 + 1,786.02 + 2,030.92 + 2,342.18 | Q4 2026 - Q3 2027	8,001.034	20x	1,456.171	109.89
Q1 2027	1,786.02 + 2,030.92 + 2,342.18 + 2,146.32 | Q1 2027 - Q4 2027	8,305.449	20x	1,457.983	113.93
Q2 2027	2,030.92 + 2,342.18 + 2,146.32 + 2,101.96 | Q2 2027 - Q1 2028	8,621.391	20x	1,459.797	118.12
Q3 2027	2,342.18 + 2,146.32 + 2,101.96 + 2,357.62 | Q3 2027 - Q2 2028	8,948.085	20x	1,461.613	122.44
Q4 2027	2,146.32 + 2,101.96 + 2,357.62 + 2,707.20 | Q4 2027 - Q3 2028	9,313.100	20x	1,463.431	127.28
Q1 2028	2,101.96 + 2,357.62 + 2,707.20 + 2,490.22 | Q1 2028 - Q4 2028	9,657.000	20x	1,465.252	131.81
Q2 2028	2,357.62 + 2,707.20 + 2,490.22 + 2,442.49 | Q2 2028 - Q1 2029	9,997.523	20x	1,467.075	136.29
Q3 2028	2,707.20 + 2,490.22 + 2,442.49 + 2,742.54 | Q3 2028 - Q2 2029	10,382.449	20x	1,468.900	141.36
Q4 2028	2,490.22 + 2,442.49 + 2,742.54 + 3,145.42 | Q4 2028 - Q3 2029	10,820.668	20x	1,470.728	147.15
Q1 2029	2,442.49 + 2,742.54 + 3,145.42 + 2,851.62 | Q1 2029 - Q4 2029	11,182.071	20x	1,472.557	151.87
Q2 2029	2,742.54 + 3,145.42 + 2,851.62 + 2,746.39 | Q2 2029 - Q1 2030	11,485.973	20x	1,474.389	155.81
Q3 2029	3,145.42 + 2,851.62 + 2,746.39 + 3,076.94 | Q3 2029 - Q2 2030	11,820.373	20x	1,476.224	160.14
Q4 2029	2,851.62 + 2,746.39 + 3,076.94 + 3,527.61 | Q4 2029 - Q3 2030	12,202.568	20x	1,478.060	165.12
Q1 2030	2,746.39 + 3,076.94 + 3,527.61 + 3,174.22 | Q1 2030 - Q4 2030	12,525.171	20x	1,479.899	169.27

Ceiling = sum(OP in quarter Q through Q+3) x20 / modeled diluted shares at Q. It is company-adjusted OP, not net income, GAAP P/E or EV/EBITDA. Ordinary depreciation remains expensed. Debt, taxes, interest and SBC economics are disclosed separately rather than silently replacing this convention.

Active calculation: 8,948.084773 x20 / 1,461.612735 = $122.441254 per share. The forward window is Q3 2027 - Q2 2028.

Workbook trace: HPE_Q_Model probabilities B29 / F29 / J29 drive the fiscal bridge and calendar revenue B8:B25, OP F8:F25 and shares H8:H25. Ceilings M8:M22 link to Master Portfolio L129:Z129; active M12 links to master P129 and Quarterly Ceilings L132. Valuation basis and existing portfolio Base overrides are unchanged.

Sensitivity: margins carry the larger risk

One-input model diagnostics | Method stays fixed

What changes the active ceiling

USD / share

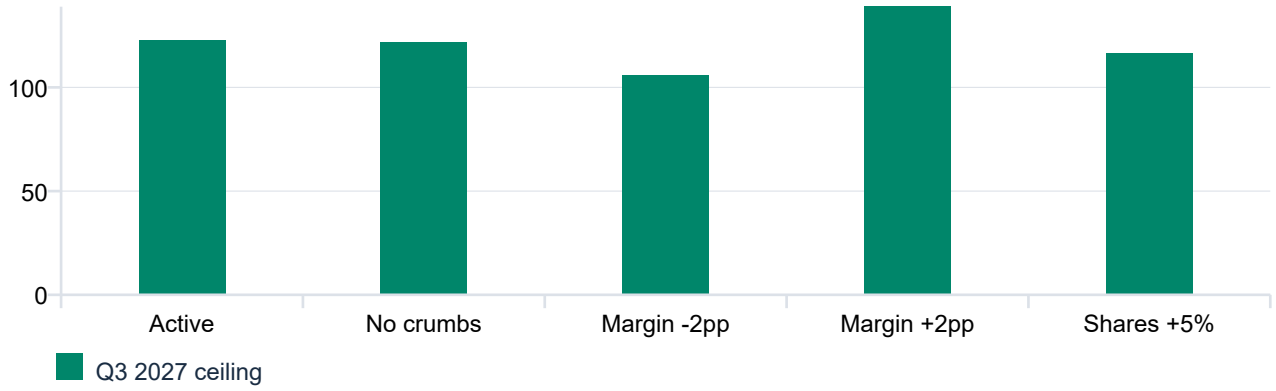


Figure 7. Our model; operating-margin stress changes profit on the same revenue base. This is diagnostic, not a second valuation method.

Diagnostic	Q3 2027 ceiling ($)
Active case	122.44
No incremental breadcrumbs	121.73
Vultr probability 0%	121.62
Vultr probability 100%	122.59
Follow-on probability 0%	121.44
Follow-on probability 100%	124.30
Extra cost pressure probability 0%	123.55
Extra cost pressure probability 100%	119.12
Operating margin -2 percentage points	105.99
Operating margin +2 percentage points	138.89
Diluted shares +5%	116.61
Preferred maximum additional conversion	121.02
Networking overlap reserve 20%	122.24

The same cost bridges, four-quarter window and share convention apply in every branch. 100% probability means the modeled conditional outcome, not unlimited TAM capture. The preferred sensitivity adds only the maximum extra shares beyond the minimum already represented in the anchor.

Capital, dilution and financing

Equity mechanics are explicit; financial services debt needs context

Item	Reported amount / model treatment
Cash / total debt	6,216 / 20,244 at July 31
Total net debt	14,028; approximately 10,800 Financial Services and 3,200 operating-company net debt
Financing receivables	Net 9,701; credit allowance 207
Inventory / supply obligations	11,823 inventory; 30,400 unconditional purchase obligations
Reported diluted anchor	1,336m basic + 76m preferred + 37m employee = 1,449m
Forecast share proxy	0.5% annual net growth plus exact 4.156466m Oracle warrant reserve; no assumed buyback benefit
Oracle warrant	HPE common shares; $0.01 exercise; issued July 2, 2026; purchase milestones; exercisable through June 25, 2029
Series C preferred	30m preferred shares; $1,500m original proceeds; 7.625% dividend; expected mandatory conversion September 1, 2027
Preferred conversion range	76.056m to 93.168m common; only 17.112m maximum extra above the minimum is a sensitivity
Valuation convention	20x adjusted OP/share; no separate ad hoc net-debt subtraction or financial-cash addition

Financial Services receivables fund part of its debt but do not eliminate funding or credit risk. Total net debt must not be confused with the smaller industrial net-debt figure. The selected OP convention is sensitive to capital structure; the debt disclosure exposes that limitation rather than hiding it. [S1, S5]

The 76m preferred component is already in diluted shares, so adding the full conversion again would overstate dilution. The filing does not separately identify Oracle warrants in its rounded share bridge; reserving the exact maximum may slightly overstate incremental dilution. Tranche vesting is conditional, not immediate. [S5, S6]

What changes the model next

Evidence-driven triggers and cross-book implications

6-18 month test	Constructive evidence	Adverse evidence / model response
Next fiscal earnings	Networking orders convert and Cloud & AI holds guided economics	Revise mix/GP or costs if accepted shipments and realized margin disappoint
Vultr delivery milestones	Accepted systems and disclosed recognition timing	Move the B1 schedule and lower weight if readiness or AMD supply slips
Additional Helios customers	A second named customer or supported order	Lower B2 if POCs fail to convert through FY27 Q3
Integration / operations	Savings trajectory supports $800m run-rate by FY28 end	Reduce segment OP margins if duplication or channel friction persists
Pricing and working capital	Input costs passed through; inventories and receivables convert to cash	Raise B3 on specific pricing lag; assess supply commitments separately
Capital each filing	Share count and debt fit the forecast bridge	Replace dilution proxies with actual settlements or vested warrants

Relationships inside the existing universe

AMD gains a rack-scale route through Helios; NVDA remains an important platform partner and competing ecosystem. AVGO merchant silicon can participate inside Ethernet networking while also influencing suppliers' economics. MSFT, AMZN, GOOGL and NBIS reflect related compute demand, but the HPE sources do not establish new named contracts with them. Storage, memory and power suppliers can benefit from physical buildouts without sharing HPE's exact revenue denominator.

What breaks the thesis

Persistent low-margin hardware growth without networking profit capture, integration failure, customer-financing stress, repeated acceptance delays or falling share despite the AI cycle would weaken the case. Favorable and adverse probabilities should move before all outcomes are official. Changing operating evidence does not authorize changing the 20x method.

Research limits remain precise: product margins, 90/10 contract split, quarterly recognition, follow-on contract counts, later growth and net share growth are estimates. The artifact does not claim undisclosed contract economics, audited calendar quarterly results or a forward GAAP earnings forecast.

Sources and model custody

Primary evidence | Cutoff September 30, 2026

S1 | 2026-09-02 | Q3 FY2026 earnings release and detailed results
https://investors.hpe.com/~/media/Files/H/HP-Enterprise-IR/documents/q3-2026/q3-2026-earnings-press-release.pdf

S2 | 2026-09-02 | Q3 FY2026 earnings presentation, recast history and outlook
https://investors.hpe.com/~/media/Files/H/HP-Enterprise-IR/documents/q3-2026/q3-2026-earnings-presentation.pdf

S3 | 2026-09-02 | Q3 FY2026 call, including Helios exclusion from FY27 guidance
https://investors.hpe.com/~/media/Files/H/HP-Enterprise-IR/documents/q3-2026/q3-2026-transcript.pdf

S4 | 2026-06-01 | Q2 FY2026 call
https://investors.hpe.com/~/media/Files/H/HP-Enterprise-IR/documents/q2-2026/q2-2026-transcript.pdf

S5 | 2026-09-03 | Q3 FY2026 Form 10-Q, capital and Oracle warrant
https://www.sec.gov/Archives/edgar/data/1645590/000164559026000080/hpe-20260731.htm

S6 | FY2025 | Annual report, Series C conversion terms
https://www.sec.gov/Archives/edgar/data/1645590/000164559026000021/fy25arsfiling.pdf

S7 | 2026-09-30 | HPE Networking Investor Day: revised growth and synergies
https://www.businesswire.com/news/home/20260930414405/en/HPE-to-Outline-Networking-Priorities-for-Long-term-Value-Creation

S8 | 2026-09-30 | HPE announces USD1.2bn Vultr Helios order
https://www.businesswire.com/news/home/20260930335555/en/HPE-Secures-Its-First-AMD-Helios-Order-in-$1.2-Billion-Deal-With-Vultr

S9 | 2026-07-23 | Vultr Helios reservations, 2027-2028 deployment window
https://blogs.vultr.com/amd-instinct-mi455x-gpu-helios-rackscale-solution-ai

S10 | 2026-09-30 14:14 EDT | HPE quote snapshot USD 64.94; not used in artifact valuation formula
https://stockanalysis.com/stocks/hpe/

S11 | 2025-10-15 | HPE Securities Analyst Meeting; dated September 2025 overlapping TAM estimates
https://investors.hpe.com/~/media/Files/H/HP-Enterprise-IR/documents/sam-2025-slides.pdf

S12 | 2026-09-08 | HPE Citi conference: Helios, Oracle and input-cost/pricing risks
https://investors.hpe.com/~/media/Files/H/HP-Enterprise-IR/documents/hpe-citi-2026-global-tmt-conference-transcript-09-08-2026.pdf

S13 | 2026-09-02 | Oracle networking collaboration, existing reference demand
https://www.hpe.com/us/en/newsroom/press-release/2026/09/hpe-and-oracle-deepen-networking-collaboration-to-accelerate-gigawatt-scale-ai-infrastructure.html

S14 | Updated 2026 | DOJ settlement: InstantOn divestiture and Mist source-code licenses
https://www.justice.gov/opa/pr/justice-department-requires-divestitures-and-licensing-commitments-hpes-acquisition-juniper

S15 | 2026-06-16 | HPE self-driving networking product integration
https://www.hpe.com/us/en/newsroom/press-release/2026/06/hpe-expands-self-driving-networks-across-edge-campus-data-center-and-ai-factories.html

Three embedded issuer exhibits are the actual downloaded source images. Four analytical charts are our model visualizations, with the numbers directly below. Sources distinguish reported results, management guidance and explicit model judgments. Historical guidance appears only where necessary to explain what was excluded; superseded Networking targets are not active.

Custody: HPE_Q_Model in v3_2_master_portfolio.xlsx; HPE_HewlettPackardEnterprise_DeepDive.md and .pdf. Framework 8.0. The entire model, including the no-increment control, derives from one calculation snapshot. Existing portfolio scores and company-specific methods are protected.